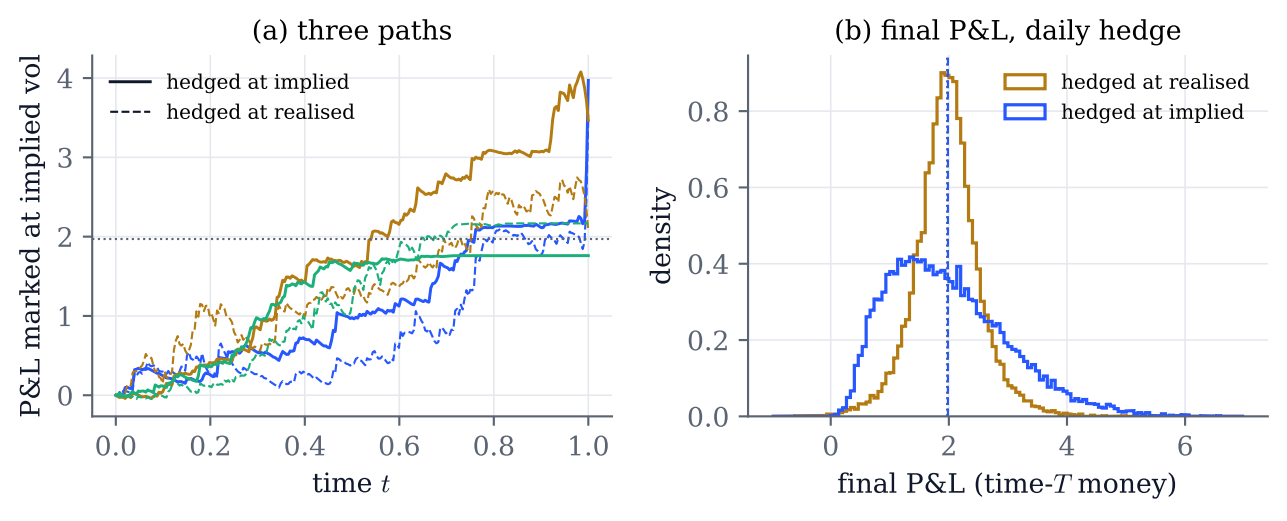
(a) three paths
hedged at implied
hedged at realised
P&L marked at implied vol
time t
(b) final P&L, daily hedge
hedged at realised
hedged at implied
density
final P&L (time-T money)